

MGT603 Mcqs Midterm

By Vu Topper RM

(1) Which term is preferable to be incorporated into written objective statements?

Select correct option:

Maximize profits

Minimize loss

10% increased production

Adequate capacity

Reference: The business decision support role is the written as a objective statements of the business in which allows users to ask very powerful "What if...?" questions.

(2) Which of the following is one of the Political, Governmental & legal factors?

Select correct option:

Ethical concerns

Traffic congestion

Lobbying activities

Average level of education

Reference: Political, Governmental, and Legal Forces

Government Regulation

Key opportunities & key threats

- Antitrust legislation (Microsoft)

- Tax rates

- **Lobbying efforts**

- Patent laws

(3) Exclusive access to high grade natural resources is an example of which of the following?

Select correct option:

Strength

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Weakness

Opportunity

Threat

Reference: external environment affect every business profit, like Special natural environmental issues include ozone depletion, global warming, depletion of rain forests, destruction of animal habitats, protecting endangered species, developing biodegradable products and packages.

(4) Which term is referred as a central management activity that allows for strategy execution?

Select correct option:

Policy-making

Resource allocation

Setting Goals

Establishing objectives

Reference: Resource allocation is a major management activity that allows for strategy execution. In organizations that do not use a strategic-management approach to decision making, resource allocation is often based on political or personal factors

(5) Test marketing is commonly applied by which of the following companies?

Select correct option:

Industrial goods companies

Consumer goods companies

Public sector companies

Private sector companies

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Reference: Test marketing is used **more frequently by consumer goods companies** than by industrial goods companies. Test marketing can allow an organization to avoid substantial losses

(6) All of the following are examples of marketing decisions that require policies EXCEPT:

Select correct option:

To be a market leader or follower

Whether to advertise online or not

Either to offer a complete or limited warranty

To use billboards for outdoor advertising

(7) Which of the following is the decision support role of management information system?

Select correct option:

Processing marketing records into marketing plans

Allowing users to ask "What if" questions

Recording and storing such human resource records

Processing operations records into production schedules

Reference: It becomes an integral part even a vital part -- of **decision - making. It allows users to ask very powerful "What if..."**

questions: What if we increase the price by 5%? What if we increase price by 10%

(8) Which of the following term represents the enduring statement of purpose that distinguish one business from other similar firms?

Select correct option:

Vision

Strategy

Mission

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Tactics

Reference: Mission statements are "enduring statements of purpose that distinguish one business from other similar firms, A mission statement identifies the scope of a firm's operations in product and market terms.

(9) Reasons due to which some firms do "No Strategic Planning" incorporate all of the following EXCEPT:

Select correct option:

Wastage of time

Fire-fighting

Content with success

Privileged reward structures

Reference: "No Strategic Planning" incorporate all of the following : Poor Reward Structures, Fire-fighting, Waste of Time, Content with Success Fear of Failure, Overconfidence, Fear of the Unknown, Too Expensive.

(10) Technological advancements can create which of the following advantage besides many other existing powerful advantages for the businesses?

Select correct option:

Economic

Competitive

Social

Environmental

Reference: Technological advancements can create new competitive advantages that are more powerful than existing advantages. Can affect organizations' products, services, markets, Suppliers, distributors, competitors, customers, manufacturing processes

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(11) A system of several rites connected with a single occasion or event is known as:

Select correct option:

Myth

Ceremonial

Saga

Legend

Reference: Ceremonial A system of several rites connected with a single occasion or event.

(12) What is the last stage of three-stage strategy formulation framework?

Select correct option:

Formulation

Decision

Matching

None of the given options

Reference: Stage-1 (Formulation Framework), Stage-2 (Matching stage), Stage-3 (Decision stage).

(13) A & Ammar is the sole manufacturer of leather goods in Pakistan. Government has lowered the tax rates for this industry keeping in view of promoting other new firms to enter this industry. Lowering the tax rates of this industry will confront A & Ammar with which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

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(14) Which of the following is NOT a part of resource allocation plan?

Select correct option:

Basic allocation decision

Contingency mechanisms

Primary allocation mechanism

None of the given options

Reference: The plan has two parts: Firstly, there is the (1) **basic allocation decision** and secondly there are (2) **contingency mechanisms**.

(15) Following are the examples of actions taken while implementing strategies EXCEPT:

Select correct option:

Altering sales territories

Conducting the SWOT analysis (formulation)

Developing financial budgets

Establishing cost-control procedures

Reference: Implementing strategies requires such actions as **Altering sales territories, adding new, Departments, closing facilities, Developing financial budgets, establishing cost-control procedures** Hiring new employees, changing an organization's pricing strategy, developing new employee benefits, changing advertising strategies, building new facilities, training new employee.

(16) Which statement is CORRECT about strategic-management process?

Select correct option:

It occurs once a year

It is a continuous process

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It applies mostly to large business

It applies mostly to small businesses

Reference: strategy formulation, implementation, and evaluation activities **should be performed on a continual basis, not just at the end of the year or semiannually.** The strategic-management process never really ends

(17) Which of the following strategy generally entails large research and development expenditures?

Select correct option:

Market penetration

Retrenchment

Forward integration

Product development

Reference: Product development is a strategy that seeks increased sales by improving or modifying present products or services.

Product development usually entails large research and development expenditures

(18) Which of these is the allocation and reallocation of capital and resources to projects, products, assets and divisions of an organization?

Select correct option:

Investment decision

Financing decisions

Restructuring decisions

Strategic decision

Reference: The **investment decision**, also called **capital budgeting**, is the **allocation and reallocation of capital and resources to projects, products, assets, and divisions of an organization.**

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(19) Which of the following are developed in strategy implementation phase of strategic management?

Select correct option:

Vision and mission

Annual objectives

Strengths and weaknesses

Opportunities and threats

Reference: Annual objectives are established in strategy implementation; they should be established at the corporate, divisional, and functional levels in a large organization.

(20) Abdullah group of industries is involved in the sale of its marginal business. It is not likely to say that Abdullah group is implementing which one of the following strategies?

Select correct option:

Retrenchment

Liquidation

Acquisition

Join venture

Reference: Retrenchment can entail selling off land and buildings to raise needed cash, pruning product lines, closing marginal businesses, closing obsolete factories, automating processes, reducing the number of employees, and instituting expense control systems

(21) All of the following are the key questions that can reveal internal strengths and weaknesses in the management department EXCEPT:

Select correct option:

Is the organization's structure appropriate?

Are reward and control mechanisms effective?

Are the organization's products positioned well?

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Does the firm use strategic management concepts?

Reference: “It simply means Positioning is how a product appears in relation to other products in the market (external environment)”

(22) External assessment is performed in which of the strategic management phase?

Select correct option:

Strategy formulation stage

Strategy implementation stage

Strategy evaluation stage

All of the given options

Reference: Strategy formulation includes developing:- Vision and Mission (The target of the business), Strength and weakness (Strong points of business and also weaknesses) **Opportunities and threats (These are related with the assessment of external environment for the business).**

(23) What is the first step in the comprehensive strategic-management model?

Select correct option:

Performing external audits

Developing vision and mission statements

Performing internal audits

Measuring and evaluating performance

Reference: First of all developing vision and mission statement then performing audits (external then internal) then establish long term goals and at the end measuring and evaluation performance.

(24) Collectively referred to as which of these strategies?

Select correct option:

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Horizontal integration
Forward integration
Hierarchical integration
Vertical integration

Reference: Forward integration, backward integration, and horizontal integration are sometimes collectively referred to as *vertical integration strategies*.

(25) A planned activity aimed at discovery of new knowledge with the hope of developing new or improved products and services and translation of its findings into a plan or design of new or improved products and services is known as:

Select correct option:

Marketing

Research and development

Production

Management information system

Reference: Research and development (R&D) management can play a part in strategy implementation. "New products and improvement of existing products that allow for effective strategy implementation"

(26) External assessment is performed in which of the strategic management phase?

Select correct option:

Strategy formulation stage

Strategy implementation stage

Strategy evaluation stage

All of the given options

Reference: SWOT analysis developed in strategy formulation stage. In external assessment list of opportunities and threats of industry are made

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by the strategist.

(27) Which of the following is not a strategy-implementation activity?

Select correct option:

Long term goals and objectives

Developing strategy supportive culture

Redirecting marketing efforts

Developing and utilizing information system

Reference: Implementing strategies requires such actions as building new facilities, training new employees, transferring managers among divisions, and building a better computer information system.

(28) Choose the economic variable from the list.

Select correct option:

Attitudes toward business

Attitudes toward product quality

Population changes by race

Stock market trends

Reference: Stock market trends, Value of the dollar in world Markets
Stock market trends, Price fluctuations, Level of disposable income,
Propensity of people to spend.

(29) What kind of strategy retrenchment is?

Select correct option:

A reorganization strategy

An expansion strategy

A diversification strategy

An integration strategy

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Reference: Retrenchment occurs when an organization regroups through cost and asset reduction to reverse declining sales and profits. Sometimes called a turnaround or reorganization strategy,

(30) Which of the following is a deliberate plan of action, guidelines, methods, procedures to guide decisions and achieve rational outcome?

Select correct option:

Annual objectives

Strategies

Policies

Goals

Reference: Policies are the means by which annual objectives will be achieved. Policies include **guidelines, rules, and procedures established to support efforts** to achieve stated objectives.

(31) Identify the term that is known as a “mean of providing guidance to actions and procedures, including how resources are to be allocated and how tasks assigned to the organization might be accomplished”.

Select correct option:

Aspirations

Objectives

Policies

Goals

Policies include **guidelines, rules, and procedures established to support efforts** to achieve stated objectives. Policies allow consistency and coordination within and between organizational departments.

(32) Strategy formulation stage includes all of the following EXCEPT:

Select correct option:

Vision and mission

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Strength and weakness
Opportunities and threats

Annual objectives

Reference: Annual objectives are especially important in strategy implementation, whereas long-term objectives are particularly important in strategy formulation. Annual objectives represent the basis for allocating resources

(33) What happens to the demand for discretionary goods when interest rates rise?

Select correct option:

Rises

Declines

Remains the same

First rises then declines

Reference: For example, as interest rates rise, then funds needed for capital expansion become more costly or unavailable. Also, as interest rates rise, discretionary income declines, and the demand for discretionary goods falls

(34) Backward integration is effective in all of the following situations EXCEPT:

Select correct option:

When an organization competes in an industry that is growing rapidly

When an organization needs to acquire a needed resource quickly

When the advantage of stable prices are not important

When present suppliers have high profit margins

Reference: Advantages of stable prices are important, Present suppliers have high profit margins, Number of suppliers is small and number of

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competitors large, high growth in industry sector, when an organization needs to acquire a needed resource quickly

(35) Adding new but unrelated products or services for appealing present customers is known as:

Select correct option:

Forward integration

Backward integration

Conglomerate diversification

Horizontal diversification

Reference: Concentric Diversification Adding new, but related, products or services National Westminster Bank PLC in Britain buys the leading British insurance company, Legal & General Group PLC

(36) Selling all of a company's assets in parts for their tangible worth is known as:

Select correct option:

Joint venture

Divestiture

Liquidation

Integration

Reference: Selling all of a company's assets, in parts, for their tangible worth Ribol sold all its assets and ceases business

(37) Identify the stages of strategic management process in a precise sequence.

Select correct option:

Strategy evaluation, strategy formulation & strategy implementation

Strategy evaluation, strategy implementation & strategy formulation

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Strategy formulation, strategy implementation & strategy evaluation

Strategy implementation, strategy evaluation & strategy formulation

Reference: The strategic management process consists of three stages: Strategy Formulation (strategy planning), Strategy Implementations, Strategy Evaluation

(38) To whom a planning horizon of two to five years applies?

Select correct option:

Top management

Middle management

Lower management

all levels

Reference: Strategies represent the actions to be taken to accomplish long-term objectives. The time frame for objectives and strategies should be consistent, usually from two to five year and it is made by top level executives which is called strategist.

(39) If market shares of competitors are declining whereas total industry sales are increasing, which strategy do you think may be the right one to pursue?

Select correct option:

Divestiture

Market Penetration

Market Development

Retrenchment

Reference: Market penetrations is useful when the Market shares of competitors declining while total industry sales increasing, Increased economies of scale provide major competitive advantages, Usage rate of present customers can be increased significantly.

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(40) All of the following fall under the category of "Process" function of production management EXCEPT:

Select correct option:

Choice of technology

Quality assurance

Process flow analysis

Transportation analysis

Reference: Process decisions concern the design of the physical production system. Specific decisions include **choice of technology**, facility layout, **process flow analysis**, facility location, line balancing, process control, and **transportation analysis**.

(41) What is the systematic gathering, recording, and analyzing of data about problems relating to the marketing of goods and services?

Select correct option:

Management

Planning

Marketing Research

Market segmentation

Reference: Marketing research is the systematic gathering, recording, and analyzing of data about problems relating to the marketing of goods and services.

(42) Which category of ratios measures "how effectively a firm can maintain its economic position in the growth of the economy and industry"?

Select correct option:

Liquidity

Leverage

Activity

Growth

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Reference: Growth ratios measure the firm's ability to maintain its economic position in the growth of the Economy and industry. Sales, Net income, Earnings per share, Dividends per share.

(43) The external environmental trends and events that could significantly harm an organization in the future may be known as:
Select correct option:

- Strengths
- Weaknesses
- Opportunities
- Threats**

Reference: External threats refer to economic, social, cultural, demographic, environmental, political, legal, governmental, technological, and competitive trends and events that could significantly benefit or harm an organization in the future.

(44) Din Mohammad, a farmer sells his crops at the local market rather than to a distribution center. This action of Din Mohammad comes under which of the following?
Select correct option:

- Backward integration**
- Product development
- Forward integration
- Horizontal integration

Seeking ownership or increased control of a firm's suppliers

(45) Which one of the following strategies is referred as presenting products, often with a little or no modification, to customers in related

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marketing areas?

Select correct option:

Market development

Market penetration

Horizontal integration

Product development

Reference: Product development is a strategy that seeks increased sales by improving or modifying present products or services.

(46) What is NOT a major benefit of having a diverse workforce?

Select correct option:

Improvement of the bottom line

An increase in training costs

An increase in productivity

A decrease in complaint

Here are 13 Benefits of a Diverse Workforce:

Reference: Improves corporate culture Improves employee morale Leads to a higher retention of employees Leads to an easier recruitment of new employees **Decreases complaints and litigation** Increases creativity Decreases interpersonal conflict between employees Enables the organization to move into emerging markets Improves client relations **Increases productivity** **Improves the bottom line** Maximizes brand identity **Reduces training costs.**

(47) “Substantial changes to the range of offerings or the markets served or both” is referred as:

Select correct option:

Differentiation

Diversification

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Relocation

Brand extension

Reference: Substantial changes to the range of offerings or the markets served or both.

Are know as a diversification. It is substantial increase in the product or markets with new moves to reduce the risk and earn profit.

(48) Which of the following is not a pitfall an organization should avoid in strategic planning?

Select correct option:

Failing to involve key employees in all phases of planning

Involving all managers rather than delegating planning to a planner

Top managers not actively supporting the strategic planning process

Doing strategic planning only to satisfy accreditation or regulatory requirements

Reference: Some pitfalls: Failing to involve key employees in all phases of planning

Top managers not actively supporting the strategic-planning process

Delegating planning to a "planner" rather than involving all managers

(49) The organizations that conduct business operations across national borders are known as which of the following?

Select correct option:

Domestic firms

Multinational corporations

Parent companies

Franchises

(50) Strategic management integrates all of the following areas EXCEPT:

Select correct option:

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Management

Marketing

Research and development

Human resource management

Reference: The study of strategic management integrates different topics **It integrates the following: Marketing, Management, Finance, Research and development**

(51) All of these are pitfalls an organization should avoid in strategic planning EXCEPT:

Select correct option:

Using plans as a standard for measuring performance.

Using strategic planning to gain control over decisions and resources

Failing to involve key employees in all phases of planning

Being so formal in planning that flexibility and creativity are stifled

Reference: Some pitfalls to watch for and avoid in strategic planning are provided

failing to involve key employees in all phases of planning

Failing to use plans as a standard for measuring performance

Failing to communicate the plan to employees, who continue working in the dark?

Using strategic planning to gain control over decisions and resources

(51) Which of the following statement is referred to 'Price fluctuation'?

Select correct option:

Decrease in prices

Increase in prices

Fluctuation in the prices of a particular commodity

Fluctuation in general price level

Reference: Price fluctuation refers to general price fluctuation. They affect the economic factors and affect the customers buying behaviors

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(52) Strategist is an individual who is involved in the strategic management process, thus may be known as:

Select correct option:

Member board of director

President

Division manager

All of the given options

Reference: Strategists have various job titles, such as chief executive officer, president, and owner, chair of the board, executive director, chancellor, dean, or entrepreneur

(53) Which of the following is an example of Intensive strategies?

Select correct option:

Conglomerate strategy

Forward integration

Market penetration

Retrenchment

Reference: Market penetrations, Market Development, Product development are sometimes referred to as *intensive strategies* because they require intensive efforts to improve a firm's competitive position with existing products.

(54) All of the specified approaches could be used to determine R&D budget allocation EXCEPT:

Select correct option:

Financing as many projects as possible

Using percentage-of-sales method

Budgeting irrelative to competitors

Deciding how many successful new products are needed

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Reference: Four approaches to determining R&D budget allocations commonly are used:

- (1) Financing as many project proposals as possible,
- (2) Using a percentage-of-sales method,
- (3) Budgeting about the **same amount that competitors spend** for R&D, or
- (4) Deciding how many successful new products are needed and working backward to estimate the Required R&D investment

(55) Which of the following sets of variables is most important as a contributory to strategic management?

Select correct option:

Market segmentation and targeting

Competition and collaboration

Product development and market development

Market segmentation and targeting

(56) Long-term objectives are needed at which level(s) of the organization?

Select correct option:

Corporate level

Divisional level

Functional level

All of the given options

Reference: Long-term objectives are needed at the corporate, divisional, and functional levels in an organization. They are an important measure of managerial performance.

(57) Which one of the following is NOT a basic mission of a competitive intelligence program?

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Select correct option:

To provide a general understanding of an industry

To provide a general understanding of a company's competitors

To identify industry executives who could be hired by the firm

None of the given options

Reference: Ethical process for gathering and analyzing information about the **competition's activities and general business trends to further a business' own goals.** ethical and systematic for gathering and analyzing the **information about competitor activities and activities involve in general business**

(58) All of the following are the types of Profitability ratios EXCEPT:

Select correct option:

Net profit margin

Inventory turnover

Return on total assets

None of the given options

Reference: **Profitability ratios** measure management's overall effectiveness as shown by the returns generated on sales and investment. Gross profit margin, Operating profit margin, Net profit margin

(59) For the past four years the ABC Corporation has been planning to expand its operations in order to reach out to the world market.

Essentially, the ABC Corporation desires to do what?

Select correct option:

Become an online business

Become a brick-n-mortar business

Embrace globalization

Become a click-n-mortar business

reference

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global considerations impact virtually all strategic decisions! The boundaries of countries no longer can define the limits of our imaginations. To see and appreciate the world from the perspective of others has become a matter of survival for businesses. The underpinnings of strategic management hinge upon managers' gaining an understanding of competitors, markets, prices, suppliers, distributors, governments, creditors, shareholders, and customers worldwide. The price and quality of a firm's products and services must be competitive on a worldwide basis, not just a local base

(60) Which of the following decisions determine the amount of funds that are retained in a firm compared to the amount paid out to stockholders?

Select correct option:

Financing

Investment

Capital

Dividend

Reference: Dividend decisions determine the amount of funds that are retained in a firm compared to the amount paid out to stockholders.

Three financial ratios that are helpful in evaluating a firm's dividend decisions are the earnings-per share ratio, the dividends-per-share ratio, and the price-earnings ratio.

(61) Which of the following is a strategy in which companies create a co-owned business that operates for their mutual benefit?

Select correct option:

Retrenchment

Divestiture

Joint venture

Liquidation

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Reference: Joint venture is a popular strategy that occurs when two or more companies form a temporary partnership or consortium for the purpose of capitalizing on some opportunity

(62) Which component of a mission statement addresses the firm's distinctive competence or major competitive advantage?

Select correct option:

Technology

Philosophy

Customers

Self-concept

Reference: Self-concept: What is the firm's distinctive competence or major competitive advantage?

(63) Which of the following best describes this statement; "a Systematic and ethical process for gathering and analyzing information about the competition's activities and general business trends to further a business' own goals"?

Select correct option:

External assessment

Industry analysis

Competitive intelligence program

Business ethics

Reference: Competitive intelligence program is Systematic and ethical process for gathering and analyzing information about the competition's activities and general business trends to further a business' own goals. It should be ethical and systematic for gathering and analyzing the information about competitor activities and activities involve in general business

(64) Research and development activity performed by R & D department of AZD company resulted in the introducing a telecommunications system in a foreign country. This R & D activity is referred as:

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Select correct option:

Concentric diversification

Market development

Market penetration

Product development

Reference: Market Development Introducing present products or services into new geographic area *Market development* involves introducing present products or services into new geographic areas. The climate for international market development is becoming more favorable. In many industries, such as airlines, it is going to be hard to maintain a competitive edge by staying close to home.

(65) Which of the following step in the strategic development process involves mobilizing employees and managers to put strategies into action?

Select correct option:

Formulating strategy

Strategy evaluation

Implementing strategy

Strategy planning

Reference: Strategy implementation is often called the action stage of strategic management. Implementing means mobilizing employees and managers in order to put formulated strategies into action. It is often considered to be most difficult stage of strategic management.

(66) Integration strategies are sometimes collectively referred to as which of these strategies?

Select correct option:

Horizontal integration

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Forward integration

Hierarchical integration

Vertical integration

Reference: Forward integration, backward integration, and horizontal integration are sometimes collectively referred to as *vertical integration strategies*.

(67) Which of these basic questions a vision statement answers?

Select correct option:

What is our business?

Who are our employees?

What do we want to become?

Who are our competitors?

Reference: "Vision means what will be you in future and Mission means where we are now." **Mission** is where you are and **Vision** is where you want to be in future.

(68) Smoothies Tire & Rubber Co. is selling its North American tire business to Avinza International, is an example of which type of strategy?

Select correct option:

Related

Retrenchment

Divestiture

Liquidation

Reference: Selling a division or part of an organization is called divestiture like north American division is selling by smoothies tire and rubber and. Harcourt General, the large U.S. publisher, selling its Neiman Marcus division.

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(69) Strategy formulation techniques can be integrated into how many stages of decision making framework?

Select correct option:

Two

Three

Four

Five

Reference: strategy-formulation techniques can be **integrated into a three-stage decision-making framework**,. 1 (Formulation Framework), 2 (Matching stage), (Decision stage)

(68) When an industry relies heavily on government contracts, which of the following is important for the firm to foresee as a part of its external audit?

Select correct option:

Economic forces

Political forces

Technological forces

Competitive forces

Reference: For industries and firms that depend heavily on government contracts or subsidies, political forecasts can be the most important part of an external audit. Changes in patent laws, antitrust legislation, tax rates, and lobbying activities can affect firms significantly.

(69) Integration strategies allow a firm to gain control over all of the following EXCEPT:

Select correct option:

Distributors

Investors

Suppliers

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Competitors

Reference: Forward integration, backward integration, and horizontal integration are sometimes collectively referred to as vertical integration strategies. Vertical integration strategies allow a firm to gain control over distributors, suppliers, and/or competitors

(70)How many parts are there of resource allocation plan?

Select correct option:

Two

Three

Four

Five

Reference: The plan has two parts: Firstly, there is the (1) basic allocation decision and secondly there are (2) contingency mechanisms

(71)Which of the following refers to determining the best capital structure for the company?

Select correct option:

Restructuring decisions

Financing decisions

Strategic decision

Investment decision

Reference: The financing decision concerns determining the best capital structure for the firm and includes examining various methods by which the firm can raise capital (for example, by issuing stock, increasing debt, selling assets, or using a combination of these approaches)

(72)Which of the following environment includes all those factors which affect the organization and itself affected by the organization?

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Select correct option:

External environment

Social environment

Task environment

Internal environment

Reference: Task environment includes all those factors which affect the organization and itself affected by the organization. These factor effects the specific related organizations

(73) Which of these strategies is effective when the number of suppliers is small and the number of competitors is large?

Select correct option:

Conglomerate diversification

Forward integration

Backward integration

Horizontal diversification

Reference: when backward integration may be an especially effective strategy are: When present suppliers are expensive, unreliable, or incapable of meeting needs and **Number of suppliers is small and number of competitors large.**

(74) All of the following are the key opportunities or threats in external environment because of Political, Govt. & illegal force EXCEPT:

Select correct option:

Tax rates

Trust in government

Pak-India relationships

Patent laws

Reference: Key Social, Cultural, Demographic, and Environmental Variables trust in government. Political, Governmental, and Legal

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Forces• Antitrust legislation (Microsoft), Tax rates, Lobbying efforts, Patent laws

(75) Which one of the following is the organizational structure that most of the medium-size organizations follow?

Select correct option:

Divisional structure

Strategic business unit

Functional structure

Matrix structure

Reference: Small firms tend to be functionally structured (centralized). **Medium-size firms tend to be divisionally structured (decentralized).** Large firms tend to use an SBU (strategic business unit) or matrix structure

(76) Which of the following is best identified as being an adaptation of the divisional structure?

Select correct option:

Vertical Integration

Strategic business units

Joint venture

None of the given options

(76) Which of the following refers to the belief related to objectives setting that "there is no general plan for which way to go and what to do"?

Select correct option:

Managing by crisis

Managing by extrapolation

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Managing by hope

Managing by subjective

Reference: Managing by Subjective—built on the idea that **there is no general plan for which way to go and what to do**; just do the best you can to accomplish what you think should be done

(77) Which of the following refers to the belief related to objectives setting that "the true measure of a really good strategist is the ability to solve problems"?

Select correct option:

Managing by objectives

Managing by extrapolation

Managing by crisis

Managing by subjectives

Reference: Managing by Crisis—based on the belief that the true measure of a really good strategist is the ability to solve problems. Because there are plenty of crises and problems to go around for every person and every organization.

(78) R & D expertise should be obtained through acquisition of a well-established in the industry in which of the following situation:

Select correct option:

Technological progress is slow and market growth is moderate

Technology is changing rapidly and market is growing slowly

If technology is changing slowly and market is growing quickly

If both, technological progress and market growth rate are fast

Reference: If both technical progress and market growth are fast, R&D expertise should be obtained through acquisition of a well-established firm in the industry.

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(79) which of the following is not a key question that can reveal internal strengths and weaknesses of the marketing department?

Select correct option:

Does the firm have an effective sales organization?

Are markets segmented effectively?

Are the firm's products and services priced appropriately?

Does the firm have good liquidity?

Reference : It is financial department strength

(80) Which of the following can be the weakness of an organization?

Select correct option:

Price war

Poor location of business

Increased trade barriers

Innovative substitute product

Reference: For example, AT&T is strong in communications and weak in computers. A weakness could be the lack of a new product and production department is the internal factor so if organization cannot choose better the locations then it can be the. Major weaknesses are locations.

(81) Which one of the following is NOT a key external force?

Select correct option:

Social responsibility

Ozone reduction

Company management

None of the given option

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Reference: strategic management integrates the internal department of the organization like management, marketing, research and development and productions and operations management.

(82) Which of the following is the benefit of strategic management?

Select correct option:

Fewer complexes

More complex

Less static

More profitable

Reference: Research indicates that organizations using strategic-management concepts **are more profitable and successful than those that do not.**

(83) Which of the following is NOT a Corporate level objective?

Select correct option:

Achieving return on investment of at least 15%

Aiming to achieve a market share of 10%

Attaining operating profit of over Rs.10 million

Increase earnings per share by at least 10% every year

Reference: These are objectives that concern the business or organization as a whole We aim for a return on investment of at least 15%, We aim to achieve an operating profit of over £10 million on sales of at least £100 million, We aim to increase earnings per share by at least 10% every year for the foreseeable future

(84) Financial benefits of strategic management include all of the following EXCEPT:

Select correct option:

Progression in profitability

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Improvement in employee productivity

Expansion in the sales of business

Enhancement in productivity

Reference:

Reference: Financial benefits:, **Improved productivity, Improved sales, Improved profitability**

(85) Which of the following statements is NOT correct about a mission statement?

Select correct option:

It contains the definition of the company's business

It is called the picture of a company's future.

It is a statement containing the company's major goals

None of the given option

Reference: Theodore Hesburgh A **vision statement is sometimes called a picture of your company in the future** but it's so much more than that. Your vision statement is your inspiration

(86) Which one variable falls under the category of the Social, Cultural, Demographic, and Environmental Variable?

Select correct option:

Propensity of people to spend

Buying habits

Level of disposable income

Income differences by region

Reference: Key Social, Cultural, Demographic, and Environmental Variables: Trust in government, **buying habits**, Average level of education, Government regulation

(87) Which of the following is a corporate level objective?

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Select correct option:

Getting 75% customer awareness of company's brand in target markets

Increasing earnings per share by at least 10%

Building customer database of at least 250,000 companies

Achieving a 10% share of International market

Reference: These are objectives that concern the business or organization as a whole We aim for a return on investment of at least 15%, We aim to achieve an operating profit of over £10 million on sales of at least £100 million, **We aim to increase earnings per share by at least 10% every year for the foreseeable future**

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